

SRINIVASUNIVERSITY
INSTITUTE OF COMPUTER SCIENCE & INFORMATION SCIENCE
CITY CAMPUS, PANDESHWAR, MANGALORE – 575001

BACKGROUND STUDY MATERIAL

Human Resource Management

II SEMESTER B.C.A



Compiled by

Faculty

Human Resource management

OBJECTIVES:

The objective of this paper is to train the student in understanding Understand the basic concepts of human resource management (HRM) and explain how human resource management is and to relates to the management process.To provide an overview function of HRM,the major role of HRM.

Theory/Week: 4 Hours Credits: 3 Subject code: 22CAC-3	Human Resource Management	Hours: 40 IA : 50 Exam: 50
Module – I		8 hrs
Human Resource Management: Introduction,what is human resource management,nature of HRM, Scope of HRM, objectives of HRM, functions of HRM, roles of an HRM and the factors of human resource management .		
Module – II		8 hrs
Human Resource Planning: Human Resource Planning (HRP), Definition of Human Resource Planning, Nature of HRP, Objectives of Human Resource Planning, Need for HRP in Organizations, Importance of HRP, Factors Affecting HRP and HRP Process. Requisites for Successful HRP.		
Module – III		8 hrs
Job Analysis and Job Design: Introduction, Job Analysis Defined, Uses of Job Analysis, Job Description, Writing Job Description, Job Specification, Job Design and Methods of Job Design. Recruitment: Introduction Recruitment, Meaning and Definition, Process of Recruitment , Recruitment Policy, Factor Affecting Recruitment, Sources of Recruitment, Methods of Recruitment, Philosophies of Recruitment. Selection: Introduction of Selection, Selection Procedure, Process of Selection, Placement – Orientation – Socialization,Advantages of Selection.		

Module – IV		8 hrs
Induction Program: Definition of Induction, Objectives of Induction Program, Characteristics of Induction Program, Purpose of Induction Program and planning of Induction Program. Employee Training: Introduction : Concept of training , Need for Employee Training, Importance, Types of Employee Training, Objectives and Process of Employee Training, Advantages of On the Job Training Methods and Benefits of Training Program.		
Module – V		8 hrs
Performance Appraisals : Introduction and Objectives , Needs and Importance of Performance Appraisals, Objectives of Performance Appraisals and Methods of Performance Appraisals and Benefits of Performance Appraisals. Promotion and Transfer: Introduction about promotion, Types of Promotion , Objectives of Promotion , Advantages of Promotions and Definition of Transfer, Types of Transfer, Benefits of Transfer.		

Sl. No	Reference Books
1.	Aswathappa. K. (2008), Human Resource and Personnel Management (5th edition), Tata McGraw-Hill Publishing Company Ltd., New Delhi.
2.	Mamoria C.B., Gankar S.V., (2006), “A Textbook of Human Resource Management”, Himalaya Publishing House, New Delhi.
3.	Aswathappa K. (2009) “Human Resource and Personnel Management” – Text and Cases, Tata McGraw Hill Publishing Company Ltd., New Delhi.
4.	Chhabra T.N. “Human Resources Management – Concepts and Issues, Fourth Edition”, Shampat Rai & Co., Delhi.

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Module –I

8Hrs

1. Human Resource Management:

- Session 1: Introduction, what is human resource management
- Session 2: Nature of HRM
- Session 3: Scope of HRM, objectives of HRM
- Session 4: Functions of HRM
- Session 5: Roles of an HRM
- Session 6: The factors of human resource management .

Module –II

8Hrs

2. Human Resource Planning

- Session 7: Human Resource Planning (HRP),
- Session 8: Definition of Human Resource Planning, and Nature of HRP
- Session 9: Objectives of Human Resource Planning
- Session 10: Need for HRP in Organizations
- Session 11: Importance of HRP
- Session 12: Factors Affecting HRP
- Session 13: HRP Process. Requisites for Successful HRP.

Module –III

8Hrs

3. Job Analysis, Recruitment and Selection Process

- Session 14: Introduction, Job Analysis Defined
- Session 15: Uses of Job Analysis
- Session 16: Job Description
- Session 17: Job Specification
- Session 18: Job Design and Methods of Job Design
- Session 19: Introduction of Recruitment Meaning and Definition
- Session 20: Process of Recruitment and Recruitment Policy
- Session 21: Sources of Recruitment
- Session 22: Methods of Recruitment and Factors Affecting Recruitment

Session 23: Introduction of Selection, Selection Procedure
Session 24: Process of Selection
Session 25: Placement – Orientation – Socialization,
Session 26: Advantages of Selection.

Module –IV

8Hrs

4.Induction and Training Program

Session 27: Concept of training , Need for Employee Training
Session 28: Importance, Types of Employee Training.
Session 29: Objectives of Employee training
Session 30: Process of Employee Training.
Session 31: Advantages of On the Job Training Methods
Session 32: Definition of Induction, Objectives of Induction Program
Session 33: Characteristics of Induction Program
Session 34: Purpose of Induction Program and
Session 35: planning of Induction Program.

Module –V

10Hrs

5. Performance Appraisals, Promotion and Transfers

Session 36: Introduction and Objectives Performance Appraisals
Session 37: Needs and Importance of Performance Appraisals,
Session 38: Methods of Performance Appraisals
Session 39: Benefits of Performance Appraisals.
Session 40: Introduction about promotion
Session 41: Types of Promotion , Objectives of Promotion ,
Session 42: Advantages of Promotions and Definition of Transfer
Session 43: Types of Transfer, Benefits of Transfer.

Scheme of Evaluation:

The paper carries 100 marks out of which 50 marks will be allotted to external examination and 50 marks will be allotted to the internal assessment.

Internal assessment marks will be calculated as follows

1. Performance in 2 IA examinations will be converted out of 30 marks
2. Attendance 10 marks
3. Assignment 10 marks.

Total 50 marks.

External examination marks will be as follows

1. 1 marks questions 10 out of 12 $1 \times 10 = 10$ marks.
2. One full question out of 2 full questions in each unit carries $8 \times 5 = 40$ marks

Total 50 marks.

In order to clear this paper minimum 50% marks must be scored both in internal and well as external examination.

Unit - 1 :

Introduction to Human Resource Management

Human beings are social beings and hardly ever live and work in isolation. We always plan, develop and manage our relations both consciously and unconsciously. The relations are the outcome of our actions and depend to a great extent upon our ability to manage our actions. From childhood each and every individual acquire knowledge and experience on understanding others and how to behave in each and every situations in life. Later we carry forward this learning and understanding in carrying and managing relations at our workplace.

1)What is Human Resource Management?

HRM is the study of activities regarding people working in an organization. It is a managerial function that tries to match an organization's needs to the skills and abilities of its employees.

1.1 Definitions of HRM Human resources management (HRM) is a management function concerned with hiring, motivating and maintaining people in an organization. It focuses on people in organizations. Human resource management is designing management systems to ensure that human talent is used effectively and efficiently to accomplish organizational goals. HRM is the personnel function which is concerned with procurement, development, compensation, integration and maintenance of the personnel of an organization for the purpose of contributing towards the accomplishments of the organization's objectives. Therefore, personnel management is the planning, organizing, directing, and controlling of the performance of those operative functions (Edward B. Philipppo).

1.2.Nature of HRM:

Human resource management brings people together in an organisation. Why? To make sure both individual and organisation goals are fulfilled! The following features characterise the nature of human resource management:-

Managerial Proces

Human resource management is a vital part of management that includes planning, organising, staffing, directing, and controlling human resources to achieve organisational success. It is a managerial process that effectively utilises human resources to attain organisational goals and objectives.

Both Art and Science

Human resource management is a mixture of both art and science. It is an art as it deals with qualitative attributes like creativity, knowledge, skills, and talent of the personnel. In simple words, HRM is the art of getting things done by others effectively. HRM is a science as it requires different scientific techniques for activities like recruitment, selection, training, and appraisal of employees.

Pervasive Force:

Human resource management, being an inherent part of an organisation, is pervasive in nature. It means that HRM is present in different functional areas of management, like finance, marketing, and production, in all commercial and non-commercial enterprises. Everyone in the organisation, from the top to the lowest level, must perform HRM functions regularly.

Improve Employee Relations

“In order to build a rewarding employee experience, you need to understand what matters most to your people.” – Julie Bevacqua.

Human resource management is concerned with building healthy relationships between employees at various organisational levels. Every individual has different needs, goals, and expectations. HRM deals with these individual factors and motivates employees to reach their maximum potential. Moreover, it creates an organisational culture that fosters learning and growth.

People-Centred

The nature of human resource management is people-centred and relevant in all types of organisations. It is concerned with every employee from the top to the bottom level. HRM value people both as individuals and as a group. Furthermore, it encourages people to develop their full potential and fulfil individual and organisational goals.

Development-Oriented

The development of the workforce in an organisation is crucial to the nature of human resource management. HR managers use various tools to help employees understand their strengths and unleash their potential. Regular training programs can benefit employees by improving their skills. Also, monetary and non-monetary reinforcement can help people stay motivated to perform better.

Action Oriented

While human resource management does follow the rules and policies, its main focus is on action and results rather than rules. A human resource manager stresses the importance of providing effective solutions for employee problems, tensions, or controversies.

Forward-Looking

Sustaining in the competitive business environment requires organisations to plan long-term strategies. HRM is a future-oriented approach that evaluates the human resource requirements and ensures the availability of required personnel in the right place at the right time. With the forward-looking nature of human resource management, managers prepare employees by motivation, training, and development to face current and future challenges in the changing business environment.

Continuous Process

Human resource management is not a 'one-time' function. Rather, it is a never-ending process that must be performed continuously to achieve organisational objectives effectively. It involves a series of tasks, beginning with identifying the human resource requirement and continuing with recruitment, training, performance evaluation, and appraisal.

Basis of Other Functional Areas

HRM is the basis of all other functional areas of management, such as finance, production, and marketing. The effectiveness of each of these departments depends on the effectiveness of their human resource management.

Interdisciplinary Function

Human resource management is multidisciplinary in nature. HR managers utilise knowledge and inputs from various disciplines to manage the workforce effectively. The five major disciplines in HRM include management, communication, psychology, sociology, and economics. In order to effectively manage human resources, one must understand the contribution of all these disciplines to HRM.

If you want to land your dream HRM job or get a promotion, check out our post-graduate certificate course in human resource management. The course will help you understand the nature of human resource management. Moreover, you will gain the knowledge and skills needed to manage human resources effectively.

Objectives of Human Resource Management

The primary objective of human resource management is to fulfil the human capital requirements of an organisation by placing personnel in the right position at the right time. Moreover, it aims to achieve maximum employee development and contribute to realising organisational goals. The four main objectives of HRM include:-

Organisational Objectives

In an organisation, HRM's objective is to maintain a competent workforce. How? By planning, recruiting, selecting, training, and developing the human resources for the organisation's growth, expansion, and survival.

Another critical organisational objective of HRM includes facilitating other departments and helping them function smoothly. The action-oriented nature of human resource management assists an organisation in achieving its goals. As an HR manager, you should ensure the effective utilisation of human resources to help the organisation reach its goals.

Functional Objectives

Human resource management is responsible for coordination within and among different functional departments of the organisation. It organises and allocates the resources to achieve business objectives effectively.

The objective of HRM is to provide every functional department with employees who possess the required set of skills and knowledge. To fulfil this very nature of human resource management, HR managers must ensure the timely completion of functions by the workforce. Moreover, it is important to continuously provide employees with opportunities and direct them toward the organisation's goals.

Societal Objectives

HRM is responsible for ensuring compliance with society's legal and ethical standards at every level of the organisation. The activities of HRM should be socially responsible and fulfil society's needs, demands, and challenges. Therefore, HR managers must ensure that the available resources are used for society's benefit.

To achieve this objective, HR managers develop programs that meet employees' psychological, social, ethical, and economic needs. Some examples of these programs include equal opportunities, compensation and benefits, and community relations. By fulfilling the societal objectives of employees, HRM aims to motivate and retain productive employees.

Personal Objectives

Employees' long-term association and commitment with an organisation depend on their ability to achieve personal goals. Therefore, HRM stresses the importance of fulfilling employees' personal objectives and increasing their contribution to the organisation.

To prevent employee performance deterioration, HR managers must help the workforce create a work-life balance. They should also be provided with adequate training and feedback on their performance. Why? Because it helps employees identify weak areas and rectify them.

Some other objectives of human resource management include the following:-

Foster a Better Work Culture

Improving employee relations is an inherent nature of human resource management. One of the most important aspects of employee relations is their work environment. Effective HRM requires developing strategies that promote a better work culture. Some examples of fostering a work culture include developing and maintaining healthy relations between team members, empowering the employees, and adopting quick onboarding processes.

Adopt Tools for Team Integration

Effective team coordination is one of the major objectives of human resource management. Higher productivity is the result of proper connections between employees in the organisation. How to achieve that, you ask? By ensuring easy communication between

individuals and groups at various enterprise levels! Therefore, HR managers search for tools or portals that improve data availability and make integration smooth and easier.

Increase Employee Engagement

While every department in the company can and should implement employee engagement programs, HRM is vital to successful employee engagement measures. HR managers organise events, activities, and celebrations within the organisation that not only helps in team development and employee engagement but also foster employee confidence. Moreover, boosting employee engagement can help HR managers impact employee retention, well-being, and productivity.

Define an Organisational Structure

Though important, hiring the right person for the right task is only a small part of the process. Once the employee is hired, the HR department needs to define an organisational structure to nurture employee skills. The organisational structure required for a manufacturing firm varies significantly from a hospital or an academic institution. HRM is responsible for recognising the structures and practices that would work in that specific work environment.

Scope of Human Resource Management

Human resource management has a wide scope. Every big and small department in an organisation needs human resources and, as a result, human resource management. The scope of HRM can be divided into three different aspects:-

The Personnel Aspect

Ensuring the individual growth of each employee is in the nature of human resource management, which can indirectly affect the organisation's overall growth. This aspect is concerned with activities like assessing human resource requirements, recruitment, selection, placement, promotion, training and development, transfer, incentives, remuneration, productivity, lay-off, retrenchment, etc.

The Employee Welfare Aspect

The objective is to ensure proper working conditions and amenities like canteens, creches, lunch rooms, restrooms, housing, transport, recreation facilities, etc., at the workplace. HRM is responsible for eliminating workplace hazards and providing employees with job safety, education, health and medical services, and more.

The Industrial Relation Aspect

The objective is to maintain peace and harmony in the organisation. How? By interacting with the labour union, addressing their grievances, and settling disputes! The aspect covers union-management relations, consultation, bargaining, grievance action, and dispute settlement.

The Role of HRM

Keep in mind that many functions of HRM are also tasks other department managers perform, which is what makes this information important, despite the career path taken. Most experts agree on seven main roles that HRM plays in organizations. These are described in the following sections.

Staffing

You need people to perform tasks and get work done in the organization. Even with the most sophisticated machines, humans are still needed. Because of this, one of the major tasks in HRM is staffing. Staffing involves the entire hiring process from posting a job to negotiating a salary package. Within the staffing function, there are four main steps:

1. **Development of a staffing plan.** This plan allows HRM to see how many people they should hire based on revenue expectations.
2. **Development of policies to encourage multiculturalism at work.** Multiculturalism in the workplace is becoming more and more important, as we have many more people from a variety of backgrounds in the workforce.
3. **Recruitment.** This involves finding people to fill the open positions.
4. **Selection.** In this stage, people will be interviewed and selected, and a proper compensation package will be negotiated. This step is followed by training, retention, and motivation.

Development of Workplace Policies

Every organization has policies to ensure fairness and continuity within the organization. One of the jobs of HRM is to develop the verbiage surrounding these policies. In the development of policies, HRM, management, and executives are involved in the process. For example, the HRM professional will likely recognize the need for a policy or a change of policy, seek opinions on the policy, write the policy, and then communicate that policy to employees. It is key to note here that HR departments do not and cannot work alone. Everything they do needs to involve all other departments in the organization. Some examples of workplace policies might be the following:

- Discipline process policy
- Vacation time policy
- Dress code
- Ethics policy
- Internet usage policy

Compensation and Benefits Administration

HRM professionals need to determine that compensation is fair, meets industry standards, and is high enough to entice people to work for the organization. Compensation includes

anything the employee receives for his or her work. In addition, HRM professionals need to make sure the pay is comparable to what other people performing similar jobs are being paid. This involves setting up pay systems that take into consideration the number of years with the organization, years of experience, education, and similar aspects. Examples of employee compensation include the following:

- Pay
- Health benefits
- 401(k) (retirement plans)
- Stock purchase plans
- Vacation time
- Sick leave
- Bonuses
- Tuition reimbursement

Retention

Retention involves keeping and motivating employees to stay with the organization. Compensation is a major factor in employee retention, but there are other factors as well. Ninety percent of employees leave a company for the following reasons:

1. Issues around the job they are performing
2. Challenges with their manager
3. Poor fit with organizational culture
4. Poor workplace environment

Training and Development

Once we have spent the time to hire new employees, we want to make sure they not only are trained to do the job but also continue to grow and develop new skills in their job. This results in higher productivity for the organization. Training is also a key component in employee motivation. Employees who feel they are developing their skills tend to be happier in their jobs, which results in increased employee retention. Examples of training programs might include the following:

- Job skills training, such as how to run a particular computer program
- Training on communication
- Team-building activities
- Policy and legal training, such as sexual harassment training and ethics training

Dealing with Laws Affecting Employment

Human resource people must be aware of all the laws that affect the workplace. An HRM professional might work with some of these laws:

- Discrimination laws
- Health-care requirements
- Compensation requirements such as the minimum wage
- Worker safety laws
- Labor laws

The legal environment of HRM is always changing, so HRM must always be aware of changes taking place and then communicate those changes to the entire management organization. Rather than presenting a chapter focused on HRM laws, we will address these laws in each relevant chapter.

Worker Protection

Safety is a major consideration in all organizations. Oftentimes new laws are created with the goal of setting federal or state standards to ensure worker safety. Unions and union contracts can also impact the requirements for worker safety in a workplace. It is up to the human resource manager to be aware of worker protection requirements and ensure the workplace is meeting both federal and union standards. Worker protection issues might include the following:

- Chemical hazards
- Heating and ventilation requirements
- Use of “no fragrance” zones
- Protection of private employee information

Awareness of External Factors

In addition to managing internal factors, the HR manager needs to consider the outside forces at play that may affect the organization. Outside forces, or external factors, are those things the company has no direct control over; however, they may be things that could positively or negatively impact human resources. External factors might include the following:

1. Globalization and offshoring
2. Changes to employment law
3. Health-care costs
4. Employee expectations
5. Diversity of the workforce
6. Changing demographics of the workforce
7. A more highly educated workforce
8. Layoffs and downsizing
9. Technology used, such as HR databases
10. Increased use of social networking to distribute information to employees

Multiple Choice Question

Human Resource Management

1) The career path model in an organization, initiating career planning can importantly form the basis for _____?

- A. Rotation
- B. Transfer
- C. Placement
- D. All of the above**
- E. None of These

2) Human Resource Management is ...?

- A. Employer oriented
- B. Employee oriented**
- C. Legally oriented
- D. None of the above

3) HRM includes?

- A. HR training and HR development
- B. Retirement and separation of HR
- C. Industrial relations
- D. All of the above**

4) Which of the following factor does not involve in communication with employees?

- A. compensating**
- B. disciplining
- C. counseling
- D. interviewing

5) The following type of recruitment process is said to be a costly affair.

- A. External recruitment**
- B. Internal recruitment
- C. Cost remains the same for both type

6) HRM objectives are categorized as _____?

- A. Organisational and social objectives
- B. Functional objectives
- C. Personal objectives
- D. All of the above**

7) Planning, organizing and controlling of procurement, development, compensation, integration of human resources to the end that objectives of individual, organisation and society are achieved given by

A.Storey

b. Flippo

c. Vetter

d. F.W. Taylor

8) Basic managerial functions of HRM area.

A. Planning, organising, staffing

B. Planning, organising and co-ordinating

C. Planning, organising, directing and controlling

D. None of these

9) Which of the following statement is/are correct?

a. HRM is a strategic management functions

b. Under HRM employee is treated as resource

c. HRM is the management of skills, talent and abilities

d. HRM lacks the organisation to achieve its goals

10) Human resource management means

a. A method which an organisation collects, maintains and reports information on people and jobs

b. The process of integrating the employees' needs and aspirations with organizational needs **c. The process of bringing people and organisation together so that the goals of each are achieved**

d. The efforts to make life worth living for workers

11) Operative functions of HRM includes

a. Procurement, development, compensation & motivation

b. Maintenance

c. Integration and emerging trends

d. All of these

13) HRM is concerned with the ----- in the organisation

A.company

B. people

C. industry

D. society

14) HRM can be understood as a process of

- A. Processing
- B. Developing
- C. Maintaining people**
- D. All the above

15) The actual achievements compared with the objectives of the job is

- A. Job Performance**
- B. Job evaluation
- C. Job description
- D. None of these

16) The meaning of the acronym HRM is _____?

- A. Human Relations Management
- B. Humanistic Resource Management
- C. Human Resource Management**
- D. Human Resourceful Management

17) Which of the following statements is false?

- A. Organizations are now less hierarchical in nature
- B. Organizations are now generally focusing upon domestic rather than international matters**
- C. Organizations have adopted more flexible norms
- D. Organizations have been subject to a raft of organizational change programs

18) Scope of the HRM includes _____?

- A. Retirement and separation of employees
- B. HR training and development
- C. Industrial relations
- D. All of the above**

19) The scope of HRM does not include _____?

- A. Retirement of employees
- B. Manpower planning
- C. Training of employees
- D. Maintenance of accounts**

20) HRM is considered as _____?

- A. a reactive function
- B. a proactive function**
- C. an auxiliary function
- D. an auxo-reactive function

Answer the Following :

1. Define HRM?
2. Explain the nature of HRM?
3. Explain the objectives of HRM?
4. Explain the functions of HRM?
5. Describe various importance of HRM?
6. Difference between personal management and Functional management system?
7. Discuss various scope of HRM?

Unit 2

Human Resource Planning

What Is Human Resource Planning (HRP)?

Human resource planning (HRP) is the continuous process of systematic planning to achieve optimum use of an organization's most valuable asset—quality employees. [Human resources](#) planning ensures the best fit between employees and jobs while avoiding manpower shortages or surpluses.

There are four key steps to the HRP process. They include analyzing present labor supply, [forecasting](#) labor demand, balancing projected labor demand with supply, and supporting organizational goals. HRP is an important investment for any business as it allows companies to remain both productive and profitable.

Challenges of Human Resource Planning (HRP)

The challenges to HRP include forces that are always changing. These include employees getting sick, getting promoted, going on vacation, or leaving for another job. HRP ensures there is the best fit between workers and jobs, avoiding shortages and surpluses in the employee pool.

To help prevent future roadblocks and satisfy their objectives, HR managers have to make plans to do the following:

- Find and attract skilled employees.
- Select, train, and reward the best candidates.
- Cope with absences and deal with conflicts.
- Promote employees or let some of them go.

There are four general, broad steps involved in the human resource planning process. Each step needs to be taken in sequence in order to arrive at the end goal, which is to develop a strategy that enables the company to successfully find and retain enough qualified employees to meet the company's needs.

Analyzing labor supply

The first step of human resource planning is to identify the company's current human resources supply. In this step, the HR department studies the strength of the organization based on the number of employees, their skills, qualifications, positions, benefits, and performance levels.

Forecasting labor demand

The second step requires the company to outline the future of its workforce. Here, the HR department can consider certain issues like promotions, retirements, layoffs, and transfers—

anything that factors into the future needs of a company. The HR department can also look at external conditions impacting [labor demand](#), such as new technology that might increase or decrease the need for workers.

Balancing labor demand with supply

The third step in the HRP process is forecasting the employment demand. HR creates a [gap analysis](#) that lays out specific needs to narrow the supply of the company's labor versus future demand. This analysis will often generate a series of questions, such as:

- Should employees learn new skills?
- Does the company need more managers?
- Do all employees play to their strengths in their current roles?

Developing and implementing a plan

The answers to questions from the gap analysis help HR determine how to proceed, which is the final phase of the HRP process. HR must now take practical steps to integrate its plan with the rest of the company. The department needs a budget, the ability to implement the plan, and a collaborative effort with all departments to execute that plan.

Objectives of Human Resource Planning

Assess Future Manpower Needs

Human resource planning helps the organization in identifying future manpower requirements for organizations. In view of organizational objectives to be achieved in the future, this process analyses the precise manpower required for the functioning of the organization. This process ensures the right number of peoples at the right time in an organization to derive requisite output.

Identify Manpower Gap

Identification of the gap between the manpower supply and manpower demand is a must for every organization. Human resource planning helps in finding out the surplus or deficit of employees in an organization. Accordingly, it makes a plan to overcome these gaps. In case of the deficit its plans for hiring new employees and in case of the surplus it reduces the number of employees by retirement, termination, layoff, etc.

Determination Of Training And Development Needs

Human resources planning aims at providing various training to all employees as per the requirement of market needs. These training and development programmers are meant for both new and existing employees. It focuses on updating and improving skills of manpower to derive the requisite productivity from them. This way it aims at the advancement of employees and serves the high skilled employees need of an organization.

Ensures Optimum Use Of Manpower

Human resource planning process helps in the full utilization of human resources. The right man at the right place is a must to achieve high productivity and efficiency. This process aims at providing job to individuals according to his knowledge, skills, and experience. Job positions are properly analyzed before deputing persons and it is checked whether a person is capable of delivering roles or not. This way Human resources planning ensures fuller utilization of human resources within the organization.

Meet Expansion And Diversification Needs

Expansion and diversification are activities that every organization needs to follow as they achieve progress over time. Human resource planning supports the organization in its various expansion, diversification, and modernization programs. It formulates plans for meeting the employee requirements as per the expansion plan. This ensures that skilled and knowledgeable people are available at the right time that is able to face the challenging job roles.

Estimates Human Resource Cost

Human resource planning controls the cost of human resources of an organization. It facilitates the preparation of the budget for meeting these expenses by estimating the cost of each and every human resource working in the organization. Formulation of appropriate budgets will ensure timely payment to employees and also avoids a shortage of funds.

Monitors Human Resource Performance

It monitors and controls the performance of employees from time to time. Human resource planning measures the actual performance of manpower with planned performance. If any deviations are found in performance it aims at removing them by taking appropriate corrective measures. It ensures whether human resources are performing as their defined roles and responsibilities. This way it helps in the achievement of organizational goals and objectives timely.

Importance of Human Resource Planning

Acquiring Right Employee

Human resource planning aims at hiring the personnel according to the requirements of the job. It aims at matching the right person with the right job. Jobs are provided to individuals according to their qualifications and skills. It involves proper analyzing of employee's qualities and skills before hiring them for a particular job role.

Improves Employee's Efficiency

Improving the efficiency of its employees is a great challenge before every business. Human resource planning helps businesses in analyzing the output of people working with it and

suggests ways of improving their efficiency. It ensures that manpower is efficiently utilized and keeps a check on whether all employees are properly delivering their roles.

Development Of Personnel

Human resource planning involves imparting education and training to all employees working within the organization. As per the market requirements, it improves the skills of employees by organizing various training and development programs. It identifies the skills of various personnel and provides them training accordingly as per the requirement.

Increase Employee Satisfaction

The satisfaction of employees is important for retaining the employees in the organization. Human resource planning helps businesses in working for the welfare of their employees. It aims at providing better working conditions, fair salaries and wages, and several other amenities. By focuses on the welfare of employees Human resources planning increase the satisfaction level and productivity of employees.

Analyse Future Manpower Needs

Human resource planning helps in meeting the future manpower requirements of the organization. It analyses the present manpower capacity and forecast the future requirement and then aims at meeting the gap between the two. Business through this process acquires and maintains the right number of personnel according to the requirement of time.

Control Employee's Turnover

Employee turnover has a great impact on the profitability of the business. Every business aims to control and minimize their overall cost incurred on its employees. Human resource planning focuses on maintaining the accurate number of personnel in every organization as per requirement. Any excess or shortage of employees is all fulfilled through proper analysis and planning. This way it controls all expenses required for hiring and maintaining new personnel.

Long Term Growth

Human resource planning has a great impact on the growth and survival of every organization. It improves the efficiency and profitability of a business by efficiently utilizing all human resources. This technique focuses on organization goals by keeping a check on the roles and duties of all persons working within the organization. It performs analysis from time to time within the organization and takes corrective measures in order to improve any deficiency. Therefore proper planning of human resources helps in increasing productivity and made the timely achievement of goals possible.

Types of HRP

There are two types of Human Resource Planning (HRP).

- Hard Human Resource Planning.
- Soft Human Resource Planning.

HRP based on quantitative analysis in order to ensure that the right number of the right sort of people are available when needed is called Hard Human Resource Planning. HRP concerned with ensuring the availability of people with the right type of attitudes and motivation and commitment to the organization is called Soft Human Resource Planning. Marchington and Wilkinson (1996) describe that “Soft Human Resource Planning is more explicitly focused on creating and shaping the culture of the organization so that there is a clear integration between corporate goals and employees values, beliefs and behaviours”. They also observe that “the soft version becomes virtually synonymous with the whole subject of Human Resource Management”.

Steps in the Human Resource Planning Process

The steps involved in the HRP process are as follows:

1. Analyzing Business Objectives and Policies
2. Study Existing Manpower Inventory
3. Forecasting Demand and Supply
4. Performing Gap Analysis
5. Formulating and Implementing HRP
6. Training and Development
7. Evaluation and Control

Analyzing Business Objectives and Policies

The initial step in the HRP process is the analysis of business objectives.

The HR manager will conduct a detailed analysis of the business’s vision and mission. Subsequently, design the HRP objectives and policies in the direction of the firm’s goals.

In this step, the managers create policies on the following HR processes:

- Sources of recruitment, i.e. internal or external recruitment.
- The selection procedure, training & development program, etc.
- Review and restructure the existing job roles strategically.
- Adoption of downsizing or rightsizing to remain competitive.
- Automation of processes and their impacts.

Forecasting Demand and Supply

1. Demand Forecasting

With the ever-changing environment, the HR demand varies from time to time. *We must anticipate the future HR requirements to achieve multiple goals.*

The managers find out the number of people with adequate skills to develop a **staff mix**.

In this stage, we can make projections regarding:

- Addition of new job roles.
- Creation of Vacancies.
- Prevent a shortage of people.
- Number and kind of personnel required for production and management.
- Right quantity of personnel to meet business long-term goals, etc.

Techniques for Demand Forecasting:

1. Managerial Judgement
2. Ratio/Trend Analysis
3. Regression Analysis
4. Work-study Techniques
5. Delphi Technique
6. Flow Model

2. Supply Forecasting

After demand forecasting, we must assess the firm's capabilities to supply the required workforce. Managers may procure personnel from within and outside the firm.

An alternative name for supply forecasting is Bench Forecasting.

Sources of human resources supply:

1. Existing Workforce
2. Internal Supply
3. External Supply

We must analyze the sufficiency of the existing workforce first. After that, go for the internal and external sources of supply.

Supply forecasting helps in estimating:

- Staff mixes for the future.
- It helps to prevent excess or shortage of manpower.
- The number of personnel required to fill the planned positions.

Techniques for Supply Forecasting:

1. Staffing Tables
2. Markov Analysis

3. Skills Inventory
4. Replacement Chart

Performing Gap Analysis

Here, the net human resource requirement is to be estimated. For this, we need to **reconcile the forecasted demand and supply**.

Variance calculation between future demand and supply is known as **Gap Analysis**. Both qualitative and quantitative gap is investigated.

Advantages

HRP process is advantageous to firm in following ways:

- It is an essential constraint Succession Planning procedure.
- Find out the Surplus or Deficit in the manpower inventory of the business.
- Helps in reducing unnecessary job positions from the organizational structure.
- The HRP process helps cut costs, which also results in improved efficiency.
- It enables HR managers to make optimum use of firms' resources.

Factors Affecting the Human Resource Planning Process



Internal Factors

1. **Forecasts Regarding Business**
The business forecasts will affect the HRP process. For instance, layoffs as a result of decreased profitability.
2. **Expansion**
It analyzes and identifies the exact demand for human resources within the business.
3. **Management Policies**
Management policies lay a significant impact on the HRP process. It consists of training employees for operating new machinery, skill development programs, etc.

4. Type of the Organization

The requirement of the workforce varies in different forms of organizations. A big firm needs huge manpower, whereas a small-sized firm needs less workforce.

External Factors

1. Government Policies

Any change in labor law directly affects the HRP process. It may include changes in minimum wage rate, etc.

2. Demographic Changes

Demographics include factors like education & culture. The HR managers have to plan policies according to the changes in these factors.

3. Competition

To remain competitive, managers need to recruit a qualified workforce. The right personnel at the right place, working with maximum productivity.

4. Economic Conditions

The economic slowdown in the country leads to layoffs in many organizations.

5. Technology

The technical changes and automation result in a decreased demand for the workforce.

Multiple Choice Questions:

- 1) For forecasting the demand for manpower, the important techniques used are _____?
 - A. Delphi Techniques
 - B. Statistical Techniques
 - C. Work Study Techniques
 - D. All of the above**
- 2) Manpower inventory involves _____?
 - A. the classification of the inventory of workers in an organisation in addition to the qualities.
 - B. the classification of characteristics of personnel in an organisation, in addition to counting their number.**
 - C. the classification of characteristics of managers' qualities in addition to their number.
 - D. the classification of characteristic features of functions for inventory in addition to the total number of functions.
- 3) Manpower inventory is _____?
 - A. to find out how manpower is to be utilized
 - B. to prepare inventory for scheduling manpower
 - C. the data collected about the present employees of an organization**
 - D. the data as calculated by demand forecast and compared with inventory in respect of manpower
- 4) The Michigan Model emphasizes the following functions and their interrelates.

- A. selection, recruitment, induction and promotions
- B. appraisal, rewards, promotions and retention
- C. selection, recruitment, rewards and promotion
- D. selection, appraisal, rewards and human resource development**

5) Treating employees as precious human resources is the basis of the _____ approach?

- A. Hard HRM
- B. Soft HRM**
- C. Medium HRM
- D. Utilitarian approach

6) Which of the following department is responsible for handling safety & health issues of employees?

- A. HR department**
- B. Procurement department
- C. Finance department
- D. Marketing department

7) The best hiring occurs when the goals of which of the following should consistent to each other?

- A. HR managers, Finance managers
- B. Head office, Brand
- C. Organisation, individual**
- D. Lower managers, Top managers

8) When planning for employment requirements, what must be forecasted?

- A. Sales desired
- B. Production Scheduled
- C. Inventory
- D. Personnel needs**

9) Although many authors experience difficulty in distinguishing between personnel management and HRM, it can be argued that HRM is the elevation of personnel management to a more _____ level.

- A. Strategic
- B. organisational**
- C. operational
- D. centralized

10) HRM is more _____ whereas Personnel Management is slightly narrow?

- A. Complex
- B. Detailed
- C. Mechanical
- D. Growth-oriented**

11) Which of the following statement represents 'effectiveness' ?

- A. Achieve most output in less time
- B. Achieve mass production
- C. Achieve most output with least input
- D. Achieve Organisational goals**

12) Which of the following approach emphasizes the effect of psychological and social factors on employees' performance?

- A. Scientific approach
- B. Rational approach
- C. Human relations approach**
- D. Systematic approach

13) Identifying and executing the firm's mission by matching its capabilities with demands of its environment is the firm's:

- A. Strategic Management**
- B. Mission statement
- C. Vision
- D. SWOT analysis

14) Formulating and executing HR systems that produce employee competencies and behaviors needed to achieve the company's strategic aims is/are _____?

- A. Strategic HR Management**
- B. Strategy execution
- C. HR strategies
- D. Strategic implementation

15) Which of the following is closely associated with strategic human resource management?

- A. Inefficient utilisation of human resources
- B. Not attracting the best human resources
- C. Providing Superficial training
- D. Providing Best training methods**

16) Human Resource Management aims to maximize employees as well as Organizational_____?

- A. Effectiveness**
- B. Economy
- C. Efficiency
- D. Performativity

17) The interview is used as a method for determining_____?

- A. The personality of the candidate.
- B. The degree 'of fit between the applicant and the demands of the job.**
- C.** His/her age.
- D. Physical attributes

18) Human resource planning is the term used to describe how companies

- (A) ensure that their staff is the right staff to carry out the jobs
- (B) planning for candidate search training and skills analysis
- (C) planning for staff retention
- (D) all of the above**

19) The correct order of steps in HR Planning is

- (A) Investigation – Forecasting – Inventory – Audit – HR Resource Plan – Action of Plan – Utilization**
- (B) Forecasting – Investigation – Inventory – Audit – HR Resource Plan – Action of Plan – Utilization
- (C) Investigation – Inventory – Forecasting – Audit – HR Resource Plan – Action of Plan – Utilization
- (D) Investigation – Forecasting – Inventory – HR Resource Plan – Audit – Action of Plan – Utilization

20) Supply forecasting measures the number of people likely to be available from within and outside the organization, after making allowance for

- (A) promotion
- (B) internal movements
- (C) absenteeism
- (D) all of the above**

21) The HR Planning process, should be tuned to

- (A) organizational objectives
- (B) organizational strategies
- (C) both (A) and (B)**
- (D) none of the above

22) ___ is defined as ascertaining the net requirements for personnel by determining the demand for the supply of human resources now and in the future.

- (A) HR Planning
- (B) HR Forecasting**
- (C) Manpower Forecasting
- (D) Manpower Planning

23) Forecasting is important in the case of ___.

- (A) Developing employee stock option plans
- (B) Developing existing products
- (C) Developing new products or new product lines**
- (D) Developing reports for government regulatory agencies

24) Generally, a temporary staff is employed by an organization for ___.

- (A) Medium-term projects
- (B) Long-term projects
- (C) Short-term projects**
- (D) Low-end jobs

25) ___ is the process of forecasting an organisations future demand for, and supply of, the right type of people in the right number.

- (A) Human Resource Planning**
- (B) Recruitments
- (C) Human Resource Management
- (D) Human Capital Management

Answer the following:

- 1. Define Human Resource Planning.?**
- 2. What are the futures of human resource planning?**
- 3. What are the objectives of Human resource planning?**
- 4. Explain the importance of Human resource planning?**
- 5. Explain the types of human resource planning?**

UNIT_3

Job analysis, Recruitment and selection

Manpower planning is concerned with determination of quantitative and qualitative requirements of manpower for the organization. Determination of manpower requirements is one of the most important problems in manpower planning. Job analysis and job design, provide this knowledge. Before going through the mechanism of job analysis and job design, it is relevant to understand the terms which are used in job analysis and job design.

According to Michael L. Jucius, “Job analysis refers to the process of studying the operations, duties and organizational aspects of jobs in order to derive specifications or as they called by some, job descriptions.

” According to DeCenzo and P. Robbins, “A job analysis is a systematic exploration of the activities within a job. It is a basic technical procedure, one that is used to define the duties, responsibilities, and accountabilities of a job.”

Uses of Job Analysis

1. **Achievement of Goals:** Weather and Davis have stated, “Jobs are at the core of every organization’s productivity, if they are designed well and done right, the organization makes progress towards its objectives. Otherwise, productivity suffers, profits fall, and the organization is less able to meet the demands of society, customer, employees, and other with a stake in its success.”

2. **Organizational Design:** Job analysis will be useful in classifying the jobs and the interrelationships among the jobs. On the basis of information obtained through job analysis, sound decisions regarding hierarchical positions and functional differentiation can be taken and this will improve operational efficiency.

3. **Organization and Manpower Planning:** It is helpful in organization planning, for it defines labour in concrete terms and co-ordinates the activities of the work force, and clearly divides duties and responsibilities.

4. **Recruitment and Selection:** Job analysis provides you with information on what the job entails and what human requirements are required to carry out these activities. This information is the basis on which you decide what sort of people to recruit and hire.

5. **Placement and Orientation:** Job analysis helps in matching the job requirements with the abilities, interests and aptitudes of people. Jobs will be assigned to persons on the basis of suitability for the job. The orientation programme will help the employee in learning the activities and understanding duties that are required to perform a given job more effectively.

6. Employee Training and Management Development: Job analysis provides the necessary information to the management of training and development programmes. It helps in to determine the content and subject matter of in training courses. It also helps in checking application information, interviewing test results and in checking references.

7. Job Evaluation and Compensation: Job evaluation is the process of determining the relative worth of different jobs in an organization with a view to link compensation, both basic and supplementary, with the worth of the jobs. The worth of a job is determined on the basis of job characteristics and job holder characteristics. Job analysis provides both in the forms of job description and job specification. **8. Performance Appraisal:** Performance appraisal involves comparing each employee's actual performance with his or her desired performance. Through job analysis industrial engineers and other experts determine standards to be achieved and specific activities to be performed.

9. Health and Safety: It provides an opportunity for identifying hazardous conditions and unhealthy environmental factors so that corrective measures may be taken to minimize and avoid the possibility of accidents.

10. Employee Counselling: Job analysis provides information about career choices and personal limitation. Such information is helpful in vocational guidance and rehabilitation counselling. Employees who are unable to cope with the hazards and demands of given jobs may be advised to opt for subsidiary jobs or to seek premature retirement.

Steps in Job Analysis:

1. Determine the Use of the Job Analysis Information: Start by identifying the use to which the information will be put, since this will determine the type of data you collect and the technique you use to collect them.

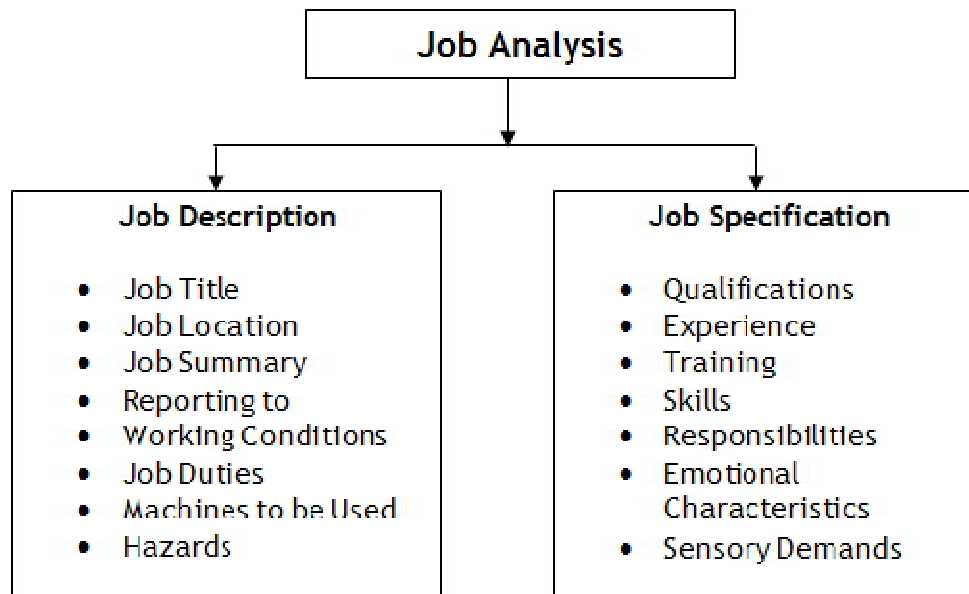
2. Collection of Background Information: According to Terry, "The make-up of a job, its relation to other jobs, and its requirements for competent performance are essential information needed for a job evaluation. This information can be had by reviewing available background information such as organization charts (which show how the job in question relates to other jobs and where they fit into the overall organization); class specifications (which describe the general requirements of the class of job to which the job under analysis belongs); and the existing job descriptions which provide a starting point from which to build the revised job description".

3. Selection of Jobs for Analysis: To do job analysis is a costly and time consuming process. It is hence, necessary to select a representative sample of jobs for purposes of analysis. Priorities of various jobs can also be determined. A job may be selected because it has undergone undocumented changes in job content. The request for analysis of a job may originate with the employee, supervisor, or a manager.

Job Analysis is a primary tool to collect job-related data. The process results in collecting and recording two data sets including **job description** and **job specification**.

Any job vacancy can not be filled until and unless HR manager has these two sets of data. It is necessary to define them accurately in order to fit the right person at the right place and at the right time.

Both job description and job specification are essential parts of job analysis information. Writing them clearly and accurately helps organization and workers cope with many challenges while onboard.



Job Description

Job description includes basic job-related data that is useful to advertise a specific job and attract a pool of talent.

It includes information such as job title, job location, reporting to and of employees, job summary, nature and objectives of a job, tasks and duties to be performed, working conditions, machines, tools and equipments to be used by a prospective worker and hazards involved in it.

Purpose of Job Description

- The main purpose of job description is to **collect job-related data** in order to advertise for a particular job. It helps in attracting, targeting, recruiting and selecting the right candidate for the right job.
- It is done to determine what needs to be delivered in a particular job. It clarifies what employees are supposed to do if selected for that particular job opening.

- It gives recruiting staff a clear view what kind of candidate is required by a particular department or division to perform a specific task or job.
- It also clarifies **who will report to whom**.

Job Specification

Also known as employee specifications, a job specification is a written statement of educational qualifications, specific qualities, level of experience, physical, emotional, technical and communication skills required to perform a job, responsibilities involved in a job and other unusual sensory demands. It also includes general health, mental health, intelligence, aptitude, memory, judgment, leadership skills, emotional ability, adaptability, flexibility, values and ethics, manners and creativity, etc.

Purpose of Job Specification

- Described on the basis of job description, **job specification helps candidates analyze whether are eligible to apply for a particular job vacancy or not**.
- It helps recruiting team of an organization understand what level of qualifications, qualities and set of characteristics should be present in a candidate to make him or her eligible for the job opening.
- Job Specification gives detailed information about any job including job responsibilities, desired technical and physical skills, conversational ability and much more.
- It helps in selecting the most appropriate candidate for a particular job.

Job design is the process of specifying the duties and responsibilities that will be included in employees' roles. Human Resource (HR) managers aim is to design work duties specific to the individual so that it allows the employee to maximise their performance and stay engaged and motivated.

Elements of job design

The main elements of job design that HR managers are concerned with include:

- **Tasks** that employees are expected to perform in the set time.
- **Motivation** - the jobs should be designed in a way that brings motivation to employees to do their job.
- **Resource allocation** - the company should allocate their resources effectively and efficiently to the specific job role, as appropriately allocated resources can influence innovation.
- **Reward systems** - both monetary and non-monetary rewards should be incorporated into the job design as they can motivate employees to perform better.

Techniques of job design

The four key techniques (aspects) of job design include:

- **Job simplification** - This means splitting one big task into smaller parts. This is to keep employees motivated as tasks will not be seen as too challenging.
- **Job rotation** - This is the process in which employees are shifted from one duty to another; this technique aims to make employees multiskilled and be able to perform various roles and duties in the company.
- **Job enrichment** - This technique allows employees to have more authority and accountability in the organisation. The job Enrichment technique is aimed at employees to feel more important and fulfilled.
- **Job enlargement** - This is when more duties and tasks are added to the job role horizontally, meaning that even though the variety of duties and tasks will increase the employees will stay at the same hierarchical level. This technique is put in place to increase employees' engagement in their current roles, become more multiskilled and avoid boredom.

Job design process

The job design process is aimed to guide HR managers to design effective jobs that will assist in maximising employees' performance, increase their engagement and avoid repetitive and boring tasks.

The job design process follows key steps. They are:

1. First managers need to decide what **important content** will be displayed on the job description
2. Then managers need to consider **skills and techniques** that are required to perform a job
3. Managers need to **decide on the job length** if the job can be done in full time or part-time hours. The working hours must be set precisely as that will cost money to the organisation. For example, If the job can be done in part-time hours but the company sets full-time hours for it, the company will be wasting money paying a full-time salary for unnecessary hours.
4. Managers should try and **avoid listing tasks** that can be **done by machines**.
5. There should be **no occurring conflicts with other jobs**.

6. Establishing relationships in the organisation that job role will involve. For example, employees working in the marketing department will require to have some sort of relationship with colleagues working in the same department.

RECRUITMENT

Recruitment is the process of finding, screening, hiring and eventually onboarding qualified job candidates. Recruitment is a key part of human resource (HR) management and supported by the hiring manager and others involved in the hiring process. Skilled recruitment efforts will make a company stand out and be more attractive to potential employees, a strategy that can directly impact a company's bottom line. The hiring process is similar across organizations; however, the number of steps in the process and its associated tasks may vary. For example, one organization may ask candidates to do a pre-hire assessment, whereas the next does not.

The following are typical steps in a hiring process:

- Conduct a job analysis to determine what is needed in the position.
- Develop a job description, if one doesn't exist, based on the analysis, including the following in it:
 - necessary skills and competencies;
 - experience;
 - education; and
 - position-specific requirements, such as the ability to lift heavy objects on a regular basis.
- Evaluate the job by comparing it to other positions in the organization to determine the overall value of the position. This can be done using a point system. The end goal is to ensure the compensation is equitable, based on comparable positions.
- Get the job description approved.
- Develop a job posting, which is similar to the job description but written with a marketing slant that takes advantage of the employer brand to help attract candidates.
- Using your applicant tracking system (ATS), post the job posting. It is often posted internally on the company's Intranet or web portal to notify employees and on the organization's external career site, job boards and social media.
- Educate everyone involved in the hiring process to ensure they are aware of the laws and company guidelines they need to follow. Examples may include not asking candidates their age, marital status or other personal information that is not directly related to the job they will perform.
- Screen the resumes that have been submitted to your recruiting software.

- Perform a first interview, possibly by phone to confirm basic information and gauge the interest of the candidate.
- Develop and share interview guides to help hiring managers conduct good interviews.
- Perform a second interview with the hiring manager or hiring team. In small organizations, interviewees may also meet with the CEO or executive director.
- Send a pre-hire assessment to the candidate. This can be a personality type test, a coding test for software development roles and so on.
- Perform reference checks with current and former employers and personal references.
- Carry out background checks, such as validating the candidate's education, or do a criminal history check.
- Have the candidate take a drug test, assuming it is legal in your jurisdiction and required for the position.
- Negotiate the contract, including salary or hourly rate, number of vacation days, bonus eligibility, and potential other items offered by the company or requested by the candidate.
- Send the offer to the candidate for review and sign-off.
- Hire the candidate, and move them to the onboarding process.

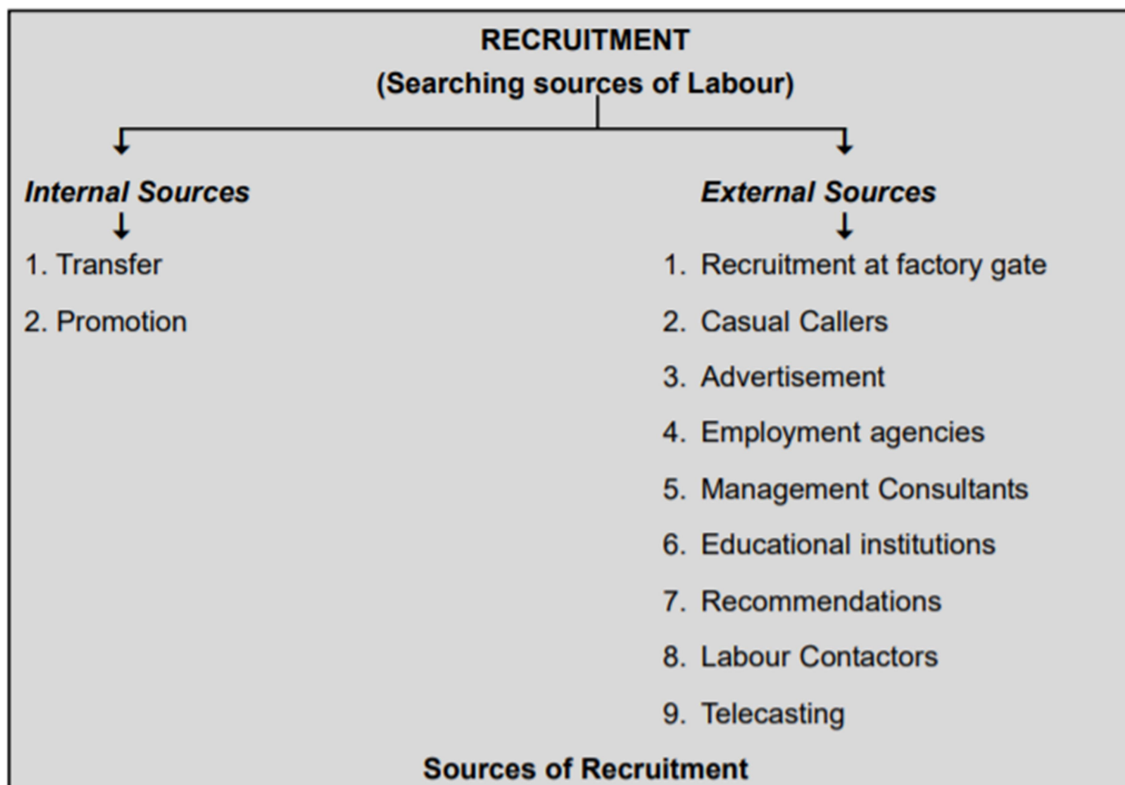
Types of recruiting techniques

- **Internal recruitment.** Post open positions on your internal career site so current employees can apply.
- **Retained recruitment.** Hire a third party to fill open positions. You pay an upfront fee for the recruitment work and may pay an additional fee once a candidate is hired.
- **Contingency recruiting.** Similarly, this option involves using a third party to recruit on your behalf, but you only pay a fee if a qualified candidate is hired.
- **Staffing recruiting.** This type of recruiting also involves a third-party recruiter but is often used to fill short-term or temporary jobs.
- **Outplacement recruiting.** This type of recruiting is sometimes offered to employees who have been involuntarily terminated. The service, in addition to other services offered by an outplacement company, are there to support former employees with their job search.
- **Recruitment process outsourcing (RPO).** In this case, the organization completely outsources its recruitment function to a third party. The primary goal is to reduce the cost of the recruiting process.
- **Temporary recruitment professional.** You may want to hire a temporary employee or consultant to help your recruitment team occasionally rather than hiring a full-time recruiter.

- **Career fairs.** Whether in person or virtual, these events give your organization an opportunity to meet qualified candidates and market your employer brand.
- **Campus recruiting.** Participating in campus recruiting events can help in recruiting new grads or co-op students.
- **Employee development and succession planning.** Developing employees and preparing them for a new role is an excellent opportunity for the employees and reduces the risks associated with external candidates.
- **Partnering with outside organizations.** You might do this to attract a more diverse workforce or support underrepresented communities, such as immigrants and minorities.
- **Networking.** Meeting other people in the community provides an opportunity to share information about your organization.
- **Social media.** Posting open positions on Twitter, Facebook and LinkedIn is a popular choice. Search engine ads that pop up in response to a query are another option.

Recruitment Process

Edwin B. Flippo defined the recruitment process – ‘Recruitment is the process of searching the candidates for employment and stimulating them to apply for jobs in the organization.’



Internal Sources of Recruitment

Internal sources of recruitment consist of employees who are already on the payroll of a firm. It also includes former employees who have returned to work for the organization. Recruitment from internal sources is done to fill up vacancies through promotion, re-hiring and transferring employees within the company.

Advantages of Internal Sources of Recruitment

- Selecting and transferring existing employees is a simpler process.
- The managers are aware of the talents and abilities of already existing employees.
- Internal recruitment serves as a tool to boost the morale of employees as internal hiring creates job and promotion opportunities for existing employees.
- Internal hiring promotes a feeling of loyalty amongst the employees.
- Existing employees are already aware of the company's working methods and don't take a long time to adjust to new positions.

Characteristics of Internal Sources of Recruitment

- Quick process.
- Cheaper than the external recruitment process.
- Works as a tool of motivation for the staff.
- The company's choice is limited to existing employees of the company.
- Hiring fresh employees is a lost prospect.

External Sources of Recruitment

External sources of recruitment refer to the sources that lie outside or exist external to the organization.

Sources of external recruitment include:

1. People joining an organization, specifically through recommendations.
2. Employment agencies(e.g. naukri.com) or employment exchanges.
3. Advertising
4. Institutes like colleges and vocational schools (e.g. campus selection)

5. Contractors
6. Hiring unskilled labor
7. List of applications
8. Temporary workers.

external recruitment provides a wider collection of potential employees with the necessary skillset. It has proven to be a successful recruitment process when hiring for managerial and technical positions.

Characteristics of External Sources

- Long and time-consuming process.
- It is an expensive process.
- When external people are given opportunities over them, then existing workers lose morale
- Hiring new employees can lead to the introduction of new blood and thus the introduction of a new set of skills and ideas.

SELECTION

Selection is the process of picking or choosing the right candidate, who is most suitable for a vacant job position in an organization. In other words, selection can also be explained as the process of interviewing the candidates and evaluating their qualities, which are required for a specific job and then choosing the suitable candidate for the position.

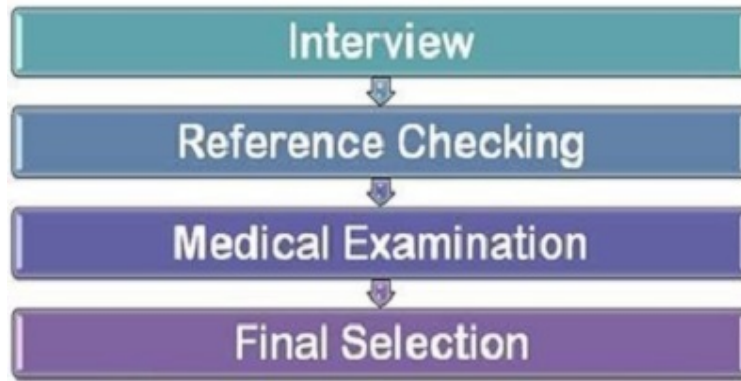
The selection of a right applicant for a vacant position will be an asset to the organization, which will be helping the organization in reaching its objectives.

Advantages of Selection

A good selection process offers the following advantages—

- It is cost-effective and reduces a lot of time and effort.
- It helps avoid any biasing while recruiting the right candidate.
- It helps eliminate the candidates who are lacking in knowledge, ability, and proficiency.
- It provides a guideline to evaluate the candidates further through strict verification and reference-checking.
- It helps in comparing the different candidates in terms of their capabilities, knowledge, skills, experience, work attitude, etc.

Selection Process and Steps



- **Employment Interview** – Employment interview is a process in which one-on-one session is conducted with the applicant to know a candidate better. It helps the interviewer to discover the inner qualities of the applicant and helps in taking a right decision.
- **Checking References** – Reference checking is a process of verifying the applicant's qualifications and experiences with the references provided by him. These reference checks help the interviewer understand the conduct, the attitude, and the behavior of the candidate as an individual and also as a professional.
- **Medical Examination** – Medical examination is a process, in which the physical and the mental fitness of the applicants are checked to ensure that the candidates are capable of performing a job or not. This examination helps the organization in choosing the right candidates who are physically and mentally fit.
- **Final Selection** – The final selection is the final process which proves that the applicant has qualified in all the rounds of the selection process and will be issued an appointment letter.

A selection process with the above steps will help any organization in choosing and selecting the right candidates for the right job.

Orientation and Placement

Once the candidates are selected for the required job, they have to be fitted as per the qualifications.

Placement is said to be the process of fitting the selected person at the right job or place, i.e. **fitting square pegs in square holes and round pegs in round holes**. Once he/she is fitted into the job, he is given the activities he has to perform and also told about the duties.

The freshly appointed candidates are then given orientation in order to familiarize and introduce the company to him. Generally the information given during the orientation programme includes-

- Employee's layout
- Type of organizational structure
- Departmental goals

- Organizational layout
- General rules and regulations
- Standing Orders
- Grievance system or procedure

In short, during Orientation employees are made aware about the mission and vision of the organization, the nature of operation of the organization, policies and programmes of the organization.

The main aim of conducting Orientation is to build up confidence, morale and trust of the employee in the new organization, so that he/she becomes a productive and an efficient employee of the organization and contributes to the organizational success.

The nature of Orientation program varies with the organizational size, i.e., smaller the organization the more informal is the Orientation and larger the organization more formalized is the Orientation programme.

Proper Placement of employees will lower the chances of employee's absenteeism. The employees will be more satisfied and contented with their work.

Multiple choice questions

1) A job specification is one of the areas of _____?

- A. job analysis
- B. job design
- C. job description
- D. job summary

2) The division of the total task to be performed into a manageable and efficient unit is _____?

- A. job design
- B. a job specification
- C. a job analysis
- D. a job description

3) Selection of the candidates is done out of _____?

- A. Target population
- B. internal sources
- C. external sources
- D. internal as well as external sources

4) A brief write-up of what the job is all about is _____?

- A. job finding
- B. job summary

- C. job analysis
- D. job specification

5) The process of developing the applicant's pool for job openings in an organization is called _____?

- A. Hiring
- B. Recruitment**
- C. Selection
- D. Retention

6) Recruitment policy usually highlights need for establishing _____?

- A. job specification**
- B. job analysis
- C. job description
- D. none of the above

7) Recruitment is widely viewed as a _____?

- A. positive process**
- B. negative process
- C. positive as well as negative process
- D. none of the above processes

8) A job design is _____?

- A. the design involving maximum acceptable job design qualities to perform a job
- B. the division of total task to be performed into manageable and efficient units**
- C. a systematic way of designing and determination of the worth of a job
- D. none of the above

9) According to Edwin Flippo, the first and immediate product of job analysis is _____?

- A. the job description**
- B. the job design
- C. the job production
- D. the job specification

10) One of the important organizational factors affecting 'Job Design' is _____?

- A. Workflow**
- B. Autonomy

- C. Feedback
- D. Diversity

11) Factors affecting job design are _____?

- A. behavioral factors
- B. environmental factors
- C. organizational factors
- D. all of the above**

12) The procedure for determining the duties and skill requirements of a job and the kind of person who should be hired for it is _____?

- A. job analysis**
- B. job design
- C. job recruitment
- D. job description

13) One of the external sources of recruitment is _____?

- A. retired managers and employees
- B. dependents of deceased employees
- C. gate hiring**
- D. none of the above

14) E-recruiting methods include _____?

- A. internet job boards
- B. career websites
- C. employer websites
- D. all of the above**

15) A broad, general and written statement of a specific job based on the findings of an analysis is called as _____?

- A. Specific Job Design
- B. Job Identification
- C. Specific Particular Analysis
- D. Job Description**

16) Job identification is one of the components of _____?

- A. job specification
- B. job design

C. job description

D. job evaluation

17) The best medium to reach a 'large audience for the process of recruitment is _____?

A. Casual applicants

B. Advertising

C. Employee referrals

D. Employment agencies

18) Internal recruitment has the potentiality to increase the of the employees.

A.Conflicts

B.Misunderstanding

C.Income

D. Morale

19) Advertisements through newspapers, TV, radio, professional journals and magazines are _____ methods of recruitment.

A.Direct

B.Indirect

C.Third-party

D. E-recruitment

20) Which of the following act deals with recruitment and selection?

a.Childlabouract

b.Theapprenticesact

c.Minesact

d. All of the above

Answer the Following

- 1. What is Recruitment?**
- 2. Explain the methods of recruitment**
- 3. Define selection and mention advantages of selection**
- 4. Explain selection process.**
- 5. explain the source of Recruitment?**
- 6. Explain the process of placement?**
- 7. What is the use of job analysis?**
- 8. Explain the process of job analysis?**

UNIT_4

INDUCTION AND TRAINING

Introducing a new employee selected as a job evaluator, workplace, environment, organization, organizational environment, and various employees is the final step in the recruitment process. Some companies do not focus on this task as they see that this work will be done automatically by new employee partners.

Performance, also known as orientation, is the process of making a new employee familiar with the workplace and his or her colleagues. A new employee may be introduced to the organization by presenting his or her employee, colleagues, supervisors and subordinates. It should be directed to the new organization and its policies, laws, and regulations.

What kind of information should be provided to a new employee ?

- It depends on the activities of the organization – whether the organization is taking direct and complete guidance or the informal and slow process of learning about the organization over a period of time.
- However, a structured posture is better because it tries to close the information gap of the new employee. Systematic guidance can contain a wide range of information.
- Generally, posture **conveys three types of information:**
 1. General information about the daily work process.
 2. A review of the organization's goals, operations, products and services and the content of the new employee's work.
 3. Detailed presentation on organizational policies, labour laws, employee benefits, etc.
- Many companies produce manuals that contain details about the organization, its policies and personnel policies, and employee benefits. These booklets are provided to new employees during orientation.

Induction – Objectives

The purposes of the import are as follows:

1. Accepting a new employee, relieving anxiety, and making him or her feel at home.
2. Build relationships between the company and the new employee and make him or her feel part of the organization very quickly.
3. Encouraging a new employee to be positive about the company and its work.
4. Getting acquainted with new employees for company purposes, history, management culture, policies, departments, divisions, products, and physical structures.
5. Communicating with new employees about what is expected of them, their responsibilities, and how they should behave.
6. Introduce the basic information the employee wants to know: rules and regulations, benefits, pay date, procedures, and general practices.

7. Encourage the new employee to be inquisitive, show him or her how to learn, and help him or her achieve 'instructive effort in building more knowledge.
8. Provide basic skills, policies, and business knowledge and assist the new employee in human relationships.

Induction – Need and Importance

1. **Reducing New Employee Anxiety** – An employee's first impression is the last appearance. If a new employee is made to feel welcome and comfortable in a new environment, especially with co-workers and co-workers, his or her anxiety may be reduced and he or she will have a better organization and work environment.
2. **Reducing Real Shock** – Every employee has expectations when he or she joins his or her new job and when these expectations do not match the real situation, the employee gets a real shock. An effective management system helps reduce these real shocks by providing extra expectations for new employees.
3. **Reducing the Number of Employees** – If a new employee gets the impression that they are unwanted or unemployed, they may respond to these feelings by resigning. Income is usually high at this early stage and effective practice at this stage can reduce this costly reaction.
4. **Staffing** – The management system helps new employees to interact with existing employees by developing an understanding of the various job-related aspects that a new employee is expected to face.
5. **Getting to Know New Employees** – Good guidance saves time because the employee will become familiar with his or her employer, supervisor and co-workers. Describing the work of the organization and the department during administration will save valuable time for colleagues in defining work.
6. **Developing realistic expectations** – Practicing efficiency enhances realistic expectations by informing the employee of what is expected of him or her in terms of standards, attitudes, work ethic, ethics and dress codes. All organizations have their own values, beliefs, and values that their employee expects them to follow. If a new employee learns and does this during training it will be much easier to include it in his or her job values.
7. **Increase Motivation** – By properly directing the newcomer to be informed of his or her work and how his or her work relates to the whole organization; how to contribute to the running of the organization and to whom to look if there is a problem. This creates more loyalty and enthusiasm in the mind of the newcomer.

Induction – Benefits

- **Other recognized benefits include:**
 - Low income, especially new rental profits
 - Increased productivity
- **Improved work ethic**
 - Low hiring and training costs

- To make it easier to read
- Reducing the anxiety of a new employee
- **Importation helps to build a two-way line of communication between managers and employees.**
- **Proper recruitment facilitates informal relationships and team performance within the employee.**
 - Active recruitment helps to recruit a new employee in the organization and develop a sense of membership.
 - This introduction helps to develop good relationships
 - The formal submission process proves that the company is taking interest in starting it right.
- **Proper placement reduces employee grievances, unemployment and staff growth. Submissions help to provide information about the organization, workplace and employee well-being.**

Training and development in Human Resource Management (HRM) refers to a system of educating employees within a company. It includes various tools, instructions, and activities designed to improve employee performance. It's an opportunity for employees to increase their knowledge and upgrade their skills.

Training of employees takes place after orientation takes place. Training is the process of enhancing the skills, capabilities and knowledge of employees for doing a particular job. Training process moulds the thinking of employees and leads to quality performance of employees. It is continuous and never ending in nature.

Importance of Training

Training is crucial for organizational development and success. It is fruitful to both employers and employees of an organization. An employee will become more efficient and productive if he is trained well.

Training is given on four basic grounds:

1. New candidates who join an organization are given training. This training familiarize them with the organizational mission, vision, rules and regulations and the working conditions.
2. The existing employees are trained to refresh and enhance their knowledge.
3. If any updations and amendments take place in technology, training is given to cope up with those changes. For instance, purchasing a new equipment, changes in technique of production, computer implantment. The employees are trained about use of new equipments and work methods.
4. When promotion and career growth becomes important. Training is given so that employees are prepared to share the responsibilities of the higher level job.

The benefits of training can be summed up as:

1. **Improves morale of employees-** Training helps the employee to get job security and job satisfaction.

The more satisfied the employee is and the greater is his morale, the more he will contribute to organizational success and the lesser will be employee absenteeism and turnover.

2. **Less supervision-** A well trained employee will be well acquainted with the job and will need less of supervision. Thus, there will be less wastage of time and efforts.
3. **Fewer accidents-** Errors are likely to occur if the employees lack knowledge and skills required for doing a particular job. The more trained an employee is, the less are the chances of committing accidents in job and the more proficient the employee becomes.
4. **Chances of promotion-** Employees acquire skills and efficiency during training. They become more eligible for promotion. They become an asset for the organization.
5. **Increased productivity-** Training improves efficiency and productivity of employees. Well trained employees show both quantity and quality performance. There is less wastage of time, money and resources if employees are properly trained.

Types of Training:

Various types of training can be given to the employees such as induction training, refresher training, on the job training, vestibule training, and training for promotions.

1. Induction training:

Also known as orientation training given for the new recruits in order to make them familiarize with the internal environment of an organization. It helps the employees to understand the procedures, code of conduct, policies existing in that organization.

2. Job instruction training:

This training provides an overview about the job and experienced trainers demonstrates the entire job. Additional training is offered to employees after evaluating their performance if necessary.

3. Vestibule training:

It is the training on actual work to be done by an employee but conducted away from the work place.

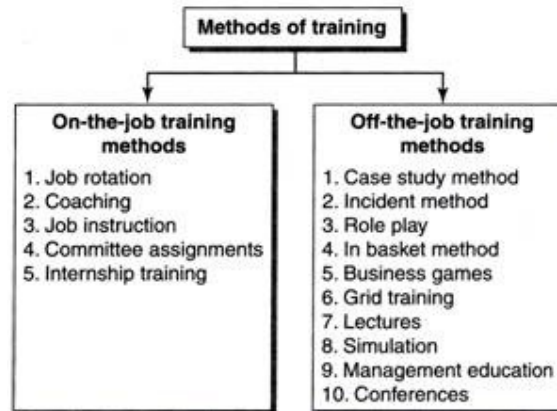
4. Refresher training:

This type of training is offered in order to incorporate the latest development in a particular field. This training is imparted to upgrade the skills of employees. This training can also be used for promoting an employee.

5. Apprenticeship training:

Apprentice is a worker who spends a prescribed period of time under a supervisor.

Methods of Training



Training is generally imparted in two ways:

1. **On the job training-** On the job training methods are those which are given to the employees within the everyday working of a concern.

It is a simple and cost-effective training method.

The inproficient as well as semi-proficient employees can be well trained by using such training method.

The employees are trained in actual working scenario.

The motto of such training is “learning by doing.” Instances of such on-job training methods are job-rotation, coaching, temporary promotions, etc.

2. **Off the job training-** Off the job training methods are those in which training is provided away from the actual working condition. It is generally used in case of new employees.

Instances of off the job training methods are workshops, seminars, conferences, etc.

Such method is costly and is effective if and only if large number of employees have to be trained within a short time period.

Off the job training is also called as vestibule training, i.e., the employees are trained in a separate area(may be a hall, entrance, reception area, etc. known as a vestibule) where the actual working conditions are duplicated.

MULTIPLE CHOICE QUESTIONS:

1. Induction refers to

- A. Give training to the employees
- B. Give incentive to the employees
- C. Introducing employee to the organization culture and situation**
- D. Increasing the morale of the employees

2. Management development training program provides

- A. Wide awareness
- B. Enlarged conceptual skills
- C. Latest technological skills
- D. All of the above**

3. _____ is the best method to improve inter personnel skills, ability to comprehend and present himself efficiently in short period of time

- A. Group discussion**
- B. Seminar
- C. Coaching
- D. None of these

4. _____ improve the performance of the employees on present job and prepares them for taking up new assignment for future

- A. Training**
- B. Development
- C. Education
- D. All of these

5. Need and importance of training includes

- A. Increased productivity
- B. Less supervision and wastage
- C. Higher employee morale
- D. All of these**

6. _____ is a systematic and planned introduction of employees to their jobs, their co-workers and the organisation.

- a. Job evaluation
- b. Investiture orientation
- c. Orientation**
- d. Placement

7. Which type of information is conveyed by orientation?

- a. Training and education benefit
- b. Job location
- c. Job safety requirements
- d. **General information about the daily work routine**

8. Which strategic choices a firm needs to make before designing its orientation programme?

- a. Formal or informal
- b. Individual or collective
- c. Serial or disjunctive
- d. Investiture or divestiture
- e. **All of the above**

9. Which of these is a stage while conducting formal orientation?

- a. Employee is given only menial tasks that discourage job interest and company loyalty
- b. Employee is overloaded with forms to complete
- c. **Specific orientation to the department and the job, typically given by the employee's supervisor**
- d. Employee's mistakes can damage the company

10. _____ refers to the allocation of people to jobs; it includes initial assignment of new employees, and promotion, transfer, or demotion of present employees.

- a. Recruitment
- b. **Placement**
- c. Selection
- d. None of the above

11. Which of these is mentioned in the orientation checklist?

- A. Parking
 - B. Equal employment opportunity
 - C. Complete form B
-
- a. A & B
 - b. B & C
 - c. A & C
 - d. **A, B & C**

12. Analysts tend to emphasise both _____ and _____ and employee extensive training programmes.

a. Skill building and skill acquisition

b. Current performance and past performance

c. Strategy and behaviour

d. None of the above

13. The term which describes long term training which includes a combination of both on-the-job and in-class training is:

a. Mentorship

b. Computer based training

c. Vestibule training

d. Apprenticeship

14. Which item is NOT an example of an indirect training cost?

a. Overtime

b. Increased scrap

c. Room and food charges

d. Low productivity

15. When structuring training objectives, the trainer should:

a. Give trainees a clear understanding of what to expect

b. Isolate all learning objectives in a single learning domain

c. Encourage trainees to evaluate whether they can omit certain course objectives

16. Demonstration type of training method is used to train

(A) Workers

(B) Supervision

(C) Managers

D) All of the above

17. Training within the industry (TWI) scheme imparts training in

(A) Job instructions

(B) Job rotation

(C) Job method

(D) On job training

Answer the Following:

1. What are the characteristics of induction.

2. Explain the objectives of induction.

3. What is the purpose of induction program

- 4. Define 'training'. Explain the various methods of training?**
- 5. Explain the benefits of training?**
- 6. Discuss the needs for training?**

UNIT_5

PERFORMANCE APPRAISAL, PROMOTIONS AND TRANSFER

A performance appraisal is a systematic and periodic process of measuring an individual's work performance against the established requirements of the job. It's a subjective evaluation of the employee's strengths and weaknesses, relative worth to the organization, and future development potential.

Types of Performance Appraisals

- The 360-Degree Appraisal: The manager gathers information on the employee's performance, typically by questionnaire, from supervisors, co-workers, group members, and self-assessment.
- Negotiated Appraisal: This type of appraisal uses a mediator to help evaluate the employee's performance, with a greater emphasis on the better parts of the employee's performance.
- Peer Assessment: The team members, workgroup, and co-workers are responsible for rating the employee's performance.
- Self-Assessment: The employees rate themselves in categories such as work behavior, attitude, and job performance.

How Performance Appraisals Work?

Human resources (HR) departments typically create performance appraisals as a tool for employees to advance in their careers. They give people feedback on how well they are doing in their jobs, ensuring that they are managing and achieving the goals set for them and assisting them if they fall short.

Performance evaluations assist in determining how to distribute a company's limited budget for giving out incentives, such as raises and bonuses. In addition, they give businesses a tool to identify the workers who have made the most contributions to their expansion so that they may appropriately reward their top performers.

METHODS OF PERFORMANCE APPRAISALS

- 720-Degree feedback: You could say that this method doubles what you would get from the 360-degree feedback! The 720-degree feedback method collects information not only from within the organization but also from the outside, from customers, investors, suppliers, and other financial-related groups.
- The Assessment Center Method: This method consists of exercises conducted at the company's designated assessment center, including computer simulations, discussions, role-playing, and other methods. Employees are evaluated based on communication skills, confidence, emotional intelligence, mental alertness, and administrative abilities. The rater observes the proceedings and then evaluates the employee's performance at the end.
- Behaviorally Anchored Rating Scale (BARS): This appraisal measures the employee's performance by comparing it with specific established behavior examples. Each example has a rating to help collect the data.
- Checklist Method: This simple method consists of a checklist with a series of questions that have yes/no answers for different traits.
- Critical Incidents Method: Critical incidents could be good or bad. In either case, the supervisor takes the employee's critical behavior into account.
- Customer/Client Reviews: This method fits best for employees who offer goods and services to customers. The manager asks clients and customers for feedback, especially how they perceive the employee and, by extension, the business.
- Field Review Method: An HR department or corporate office representative conducts the employee's performance evaluation.
- Forced Choice Method: This method is usually a series of prepared True/False questions.
- General Performance Appraisal: This method involves continuous interaction between the manager and the employee, including setting goals and seeing how they are met.
- Human Resource Accounting Method: Alternately called the "accounting method" or "cost accounting method," this method looks at the monetary value the employee brings to the company. It also includes the company's cost to retain the employee.
- Management By Objective (MBO): This process involves the employee and manager working as a team to identify goals for the former to work on. Once the goals are established, both parties discuss the progress the employee is making to meet those goals. This process concludes with the manager evaluating whether the employee achieved the goal.
- Performance Tests and Observations: This method consists of an oral test that measures employees' skills and knowledge in their respective fields. Sometimes, the tester poses a challenge to the employee and has them demonstrate their skills in solving the problem.

- **Project Evaluation Review:** This method involves appraising team members at the end of every project, not the end of the business year.
- **Ratings Scales:** These ratings measure dependability, initiative, attitude, etc., ranging from Excellent to Poor or some similar scale. These results are used to calculate the employee's overall performance.

What are Performance Appraisals Used For?

Performance appraisals serve a dual purpose for both organizations and employees.

- For organizations: employee assessments provide insight into an employee's contribution, enabling management to improve working conditions, address behavioral issues, recognize employee talents, support skill and career development, and improve strategic decision-making.
- For employees: performance reviews are a way to recognize and thank them for their achievements, find opportunities for promotions or bonuses, help them get training or education to advance their careers, find areas where they can improve, encourage and involve them in their career development, and start conversations about long-term goals.

The Benefits of Performance Appraisals

Here is a list of advantages that performance appraisals bring to the table:

- They help supervisors plan promotions for solid, performing employees and dismiss inefficient workers.
- They help the organization decide how to compensate the employees best. Also, companies can use performance appraisal records to help determine extra benefits and allowances.
- They can call attention to employee weaknesses and help set up training programs in-house.
- The performance appraisals can help make changes in the selection process which inevitably help hire better employees.
- Performance reviews effectively communicate the employee's performance status and provide a great way to give feedback on how the employee is doing at their job.

- Performance evaluations are a great motivational tool, providing a snapshot of the employee's efficiency. This snapshot, in turn, can incentivize the individual to improve their performance.
- **Definitions**
 - Promotion is defined as the movement of an employee from one position to another position of a higher pay grade or salary.
 - Transfer is defined as the movement of an employee from one position to another position at the same pay grade level or similar salary.

INTRODUCTION of TRANSFER:

Transfers must be ordered based on certain company-specific principles or dogma. Transferring an employee without adhering to policies or norms may lead to deteriorated industrial relations. The management might think of issuing transfer orders, treating each case on its own merit.

MEANING OF TRANSFER

Transfer is a process of placing employees in positions where they are likely to be more effective or where they are to get more job satisfaction.

In transfers, there is no change in the responsibility, designation, status or salary. It is a process of employee's adjustment with the work, time and place. Transfer may also be made as a disciplinary action.

DEFINITION OF TRANSFER

According to Edwin Flippo, a transfer, "is a change in job where the new job is substantially equal to the old in terms of pay, status and responsibilities".

A transfer is a horizontal or lateral movement of an employee from one job, section, department, shift, plant or position to another at the same or another place where his salary, status and responsibility

PURPOSE OF TRANSFER

1. To Increase Productivity of Employees:

Transfer may be made for the proper utilisation of the services of an employee when he is not performing satisfactorily and ample and when the management feels that he may be more beneficial or suitable elsewhere, where his capacities would be better utilised.

2. To Fulfil Employee's Request:

Sometimes transfers is made to meet an employee's own request, when he feels uncomfortable on the job because of his dislike of his boss or his fellow workers or because better opportunities for his future advancement do not exist there or because of family circumstances which may compel him to change the place of his residence.

3. To Meet Organisational Requirements:

Sometimes transfers are made to satisfy such needs of an organisation as may arise out of a change in the quantity of production, fluctuations in work requirements and changes in the organisational structure; the introduction of new lines of production, etc.

4. Maintenance of a Tenure System:

Transfer may be made for the maintenance of a tenure system. In senior administrative services of the government and also in industries or where there is a system of annual intake of management trainees such transfers are generally exist.

5. For Adjusting the Work Force:

Transfer may be made to adjust the workforce of one plant with that of another, particularly when one is closed down for reasons beyond

the control of the employer

Types of Transfer:

(A) Production Transfers:

In order to stabilise the employment in the company and avoidance of lay off, an employee may be transferred from one department to another department. Such a transfer is known as production transfer.

(B) Replacement Transfers:

An employee with a long service may be transferred in some other department to replace a person with a shorter service.

(B) Versatility Transfers:

(C) The versatility transfers are made for the purpose of preparing the employees for production and replacement transfer. An employee is trained on different jobs so as adjust him on a different job when there is no work at his seat or job.

(D) Shift Transfers:

In case of manufacturing concerns, there are normally three shifts. Usually these shifts are rotating. In case shift assignments are not rotating, an employee may be transferred from one shift to another shift.

(E) Remedial Transfers:

In case an employee does not feel comfortable on his job, he may be transferred to some other job. His initial placement might be faulty; his health might have gone down; he may not be getting along with his supervisor or workers i.e., he might have developed personal friction with his boss or fellow employees.

(F) Miscellaneous Transfers:

Transfers may also be classified as temporary or permanent transfers. If a transfer is from one department to another, it is known as departmental transfer. If a transfer is made within the department, such a transfer is known as sectional transfer. An employee may be transferred from one plant to another plant. Such a transfer is known as inter-plant transfer.

Types of Employee Promotion

1. Horizontal Promotion:

This kind of promotion rewards an employee with a pay increase but little to no change in responsibilities. It is also regarded as an up-gradation of an employee. In the educational sector, an example of this is the move from lecturer to senior lecturer.

2. Vertical Promotion:

This refers to an upward movement of employees with a change in skills and experience. It brings a change in salary, responsibility, status, benefits, etc. In the marketing industry, this can be the promotion of a marketing supervisor to the marketing manager.

3. Dry Promotion:

A Promotion that employees aren't particularly fond of. This promotion refers to an increase in responsibilities and status without the benefits. It means no increase in pay or any **financial benefits** for that matter.

4. Open and Closed Promotion:

Open Promotion is a situation wherein every individual of an organization is eligible for the position. Closed Promotion is a situation wherein only selected team members are eligible for a promotion.

Benefits of Employee Promotion

1. Expectation:

Employee Promotion is one of the main goals of employees working hard. Thus, it turns into their expectation. When employers don't fulfill these expectations, they end up losing employees.

A **study** conducted shows that 40% of millennials expect a promotion in one to two years. It also states that if not provided with one, they will leave a company searching for opportunities elsewhere.

2. Reduce Attrition:

Employee Promotion often includes a pay raise which acts as a huge motivation. This, in return, further **reduces attrition**. A **survey** published shows 35% of employees quitting their job because of no pay raise in a year.

3. Motivation & Productivity:

As stated above, employee promotion is a big tool for career advancement and employee retention. It is because when employees get a chance to grow, they stick with a company. This motivation ultimately correlates to higher productivity.

4. Cost-Efficient:

Internal employee promotion involves less cost than hiring new ones. This is a fact that is shown in a study published by The Wall Street Journal. It was found that companies pay 20% more in onboarding a new hire instead of internally promoting one. This harms the desired cost-cutting measures of a company.

5. Career Growth:

Employee promotion facilitates the critical career path and growth of an individual. A statistic in 2017 showed that lack of career development is one of the key reasons for attrition. Even in this day and age, it is bound to be one of the main concerns of employees.

6. Need to Manage:

Employee Promotion often brings new responsibilities that initiate a sense of management. This sense of management is a key factor in employee satisfaction as it helps them grow. In a detailed study, it was found that 45% of millennials are keen on managing others.

7. Rewards and Recognition:

Employee promotion is a crucial element of an organization's rewards and recognition program. This is because a study shows more than a quarter of employees leave the organization for lack of rewards recognition.

Transfer may be made to achieve the following objectives:

1. To meet or fulfill organizational needs – To fulfill organisational needs arising out of change in technology, volume of production, production schedule, quality of product etc., an employee may have to be transferred.
2. To satisfy employee needs – Sometimes employees themselves demand transfer due to their personal problems like ill health, family problem native attractiveness or non-co-operation from boss or fellow workers. To satisfy their needs employees may have to be transferred.

3. To adjust the workforce – Employees for excess or surplus in one department may have to be transferred to other department or section where there is shortage of workforce.
4. To reduce monotony and to make the employees versatile – If the employees have stayed on a job continuously for a longer duration, to reduce their monotony and to widen their knowledge and skill, employees are transferred.
5. For effective use of employees – If the management feels that the service of the able employee is to be used in different branches of the same organisation, then such employees will have to be transferred.
6. To punish Employees – If employees are found indulged in undesirable activities like fraud, bribery, duping etc., such employees are transferred to remote places as a disciplinary action.
7. To give the relief to the employees – Employees who are overburdened and doing complicated or risky work for long period are relieved from such work by transferring such employees to a place of their choice.
8. To improve employees background by placing them in different jobs of various departments and units.

The following are some of the objectives of transfer of employees in a company:

1. To meet the exigencies of the company's business.
2. To meet the request of an employee.
3. To correct incompatibilities of employee relations.
4. To suit the age and health of an employee.
5. To provide creative opportunities to deserving employees.
6. To train the employee for later advancement and promotion. This involves actually job rotation.
7. To deal with fluctuations in work requirements or exigencies at work, such as situations when there is slackness in the work in one department and an overload of work in another, an employee from the first department may be temporarily transferred to the other department as found necessary.

1. Performance appraisal methods classified in

- A. Individual evaluation method
- B. Group evaluation method
- C. Other method
- D. All of these**

2. Which of the following is not an objective of modern performance appraisal system

- A. Salary increase
- B. Identify training needs
- C. Punishing the employee**
- D. Promotion decision

3. _____ is an objective assessment of an individual's performance against well-defined benchmarks.

a. Performance Appraisal

- b. HR Planning
- c. Information for goal identification
- d. None of the above

4. What is linked with performance appraisal?

- a. Job Design
- b. Development
- c. Job analysis**
- d. None of the above

5. Which of the following is an alternate term used for performance appraisal?

- a. Quality and quantity of output
- b. Job knowledge
- c. Employee assessment**
- d. None of the above

6. How performance appraisal can contribute to a firm's competitive advantage?

- a. Ensures legal compliances
- b. Minimising job dissatisfaction and turnover
- c. Improves performance
- d. All of the above**

7. Successful defenders use performance appraisal for identifying _____.

- a. Staffing needs
- b. Job behaviour
- c. Training needs**
- d. None of the above

8. When appraisals are made by superiors, peers, subordinates and clients then it is called _____.

a. 360 degree feedback

b. 180 degree feedback

c. Self - appraisal

d. None of the above

9.Which company first developed the 360 degree system of appraisal?

a. Wipro in 1990

b. Godrej Soaps in 1991

c. General Electric, US in 1992

d. None of the above

10.Which of these is one of the seven criteria for assessing performance?

a. Community service

b. Interpersonal contact

c. Need for supervision

d. All of the above

11.Which is the simplest and most popular technique for appraising employee performance?

a. Rating Scales

b. Critical Incident

c. Cost accounting

d. BARS

12.Which of these is the main purpose of employee assessment?

a. Making correct decisions

b. To effect promotions based on competence and performance

c. Establish job expectations

d. None of the above

13.Raters can be immediate supervisors, specialists from the HR department, subordinates, peers, committees, clients and self - appraisals or a combination of all.

a. True

b. False

Answer the following

- 1. Define performance appraises?**
- 2. What are the objectives of performance appraisal?**
- 3. Explain the types of promotions?**
- 4. List out the Types of transfers?**
- 5. Explain the purpose of promotions?**
- 6. Define transfer and promotion**